WS Global CIO Office
15 May 2026

Weekly Market View

A tipping point?

➔ The ongoing blockade of the Hormuz strait is reaching a tipping point as the summer holiday season approaches. The closure has fuelled headline US inflation but broader inflationary effects have yet to materialise.

➔ The Fed, under incoming Chair Kevin Warsh, is likely to keep policy rates steady as long as long-term inflation estimates stay anchored.

➔ A US-China joint push following the Trump-Xi meeting could potentially lift the strait blockade, lowering oil prices, bond yields and the USD.

➔ That would help sustain the rally in risk assets, particularly China and India equities which have missed this year's rally in Asia. Emerging Market bonds and AUD bonds are also likely to benefit.

➔ Any prolonged strait blockade is a risk to our constructive outlook. We continue to hedge stagflation risks through US inflation-linked bonds, gold and alternative assets.

Bullish Hang Seng Tech index: Reasonable valuations and improving growth visibility

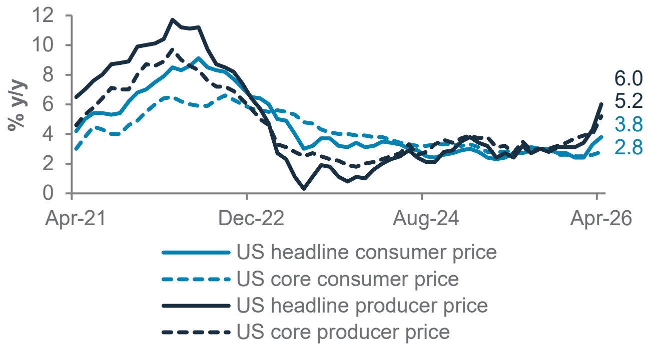
Bullish US inflation-protected bonds: hedge against rising inflation risks

Bullish AUD/JPY: AUD to benefit from improving commodity and China outlook

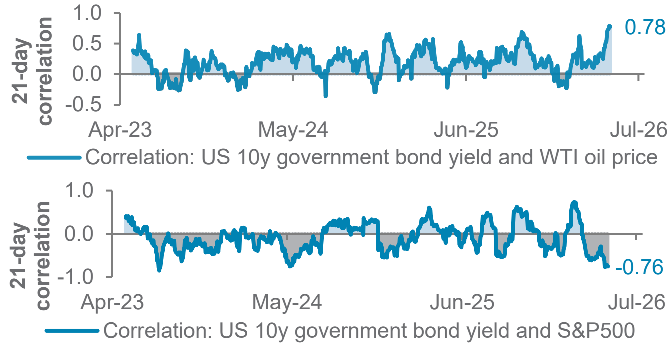
Charts of the week: Getting hotter

Higher oil prices are fuelling headline inflation and bond yields, but core consumer inflation remains relatively subdued

US headline and core consumer and producer price inflation



Correlation between US bond yield and oil, equities



Source: Bloomberg, Standard Chartered

Editorial

A tipping point?

Strategy summary: The ongoing blockade of the Hormuz strait is reaching a tipping point as the summer holiday season approaches. The closure has fuelled headline US inflation but broader inflationary effects have yet to materialise. The Fed, under incoming Chair Kevin Warsh, is likely to keep policy rates steady as long as long-term inflation estimates stay anchored.

A US-China joint push following the Trump-Xi meeting could potentially lift the strait blockade, lowering oil prices, bond yields and the USD. That would help sustain the rally in risk assets, particularly China and India equities which have missed this year's rally in Asia. Emerging Market bonds and AUD bonds are also likely to benefit. A prolonged strait blockade is a risk to our constructive outlook. We continue to hedge stagflation risks through US inflation-linked bonds, gold and alternative assets.

Still pro-risk but avoid concentration: Equity markets have continued their rally, driven by optimism regarding improved US-China relations and strong earnings fundamentals. While the medium-term outlook remains constructive for risk assets, US equity market investor positioning is now less attractive than a month ago. Hence, we remain positioned to navigate volatility by minimising concentration risks. Meanwhile, firms with strong pricing power are expected to outperform if inflation persists. Broadening exposure to technology, especially internet industries, remains a preferred investment strategy.

Hot US inflation, resilient jobs: US inflation accelerated sharply in April due to higher energy costs. Despite these increases, secondary inflationary effects remain limited for now. Meanwhile, the US job market has rebounded from last year's downturn, with job creation stabilising the unemployment rate slightly above the Fed's long-run equilibrium. The resilience of consumer spending, aided by households dipping into savings, precautionary business purchases, wealth effect from booming equity markets, a US tax refund windfall, and an AI-driven investment boom, have supported growth. Yet these supports may fade if energy costs climb higher as inventories dwindle.

Not enough to move the Fed: Against this backdrop, the Fed is likely to keep interest rates steady. The bar for a rate hike is high; only a loss of confidence in long-term inflation expectations or an acceleration in wage growth would likely prompt action. Conversely, if the delayed effects of the oil shock undermine growth, the Fed may resort to cutting rates later in the year. With investors holding short positions in bonds, the upside for US bond yields and the dollar seems limited.

A breakthrough in Beijing? The Trump-Xi summit has the potential to lift the blockade. Both leaders have agreed that the Hormuz strait "must remain open", with China's leverage over Iran, being its biggest oil customer, a key factor. Should China act on this pledge, shipping through Hormuz could resume in weeks. Such a development would lower oil prices and relax global financial conditions, sustaining the rally in risk assets.

Risk of prolonged blockade. Any persistence of the Hormuz blockade remains a risk to our constructive outlook. Should the impasse continue into the peak summer driving and travel season, global oil inventories, bolstered thus far by elevated reserves and strategic stockpile releases, are likely to decline sharply. This would lead to upward pressure on oil prices and heightened economic strain. We therefore continue to hedge against stagflation risks through gold and alternative assets.

Opportunity in UK bonds? UK long-term government bond yields have surged to their highest in decades as Prime Minister Starmer faces challenges to his leadership after wide-ranging local election losses. Even with a left-wing Labour replacement, any stimulus is likely to be funded by taxes, not borrowing, likely easing fiscal concerns. Markets have already priced almost 70bps of BoE rate hikes over the next 12 months because of the energy shock, leaving little scope for hawkish policy surprises. Meanwhile, the Gilt-Bund spread, exceeding 2 percentage points, appears excessively wide. Thus, a further UK bond selloff if Starmer departs could present opportunities to add exposure. We are watching this space closely.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

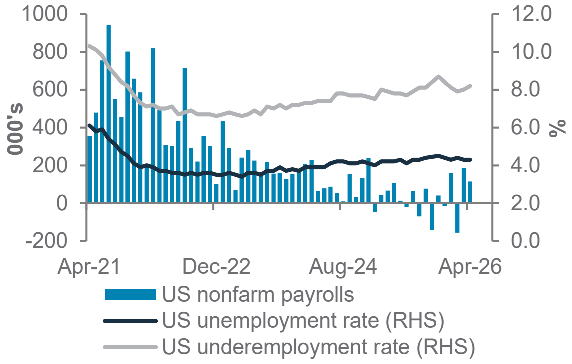
(+) factors: Resilient US job market, Trump-Xi Summit

(-) factors: Rising US inflation; US-Iran peace talks deadlocked

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls rose more than expected by 115,000 in April • US core retail sales rose more than expected by 0.5% m/m in April • US Michigan 1-year inflation expectations were below expectations at 4.5% y/y in April • Euro area and Germany ZEW Survey of growth expectations beat estimates in May • China exports grew more than expected by 14.1%	• US headline and core consumer prices rose more than expected by 3.8% y/y and 2.8% y/y respectively in April • US headline and core producer prices rose more than expected by 6.0% y/y and 5.2% y/y respectively • US Michigan consumer sentiment fell more than expected to 48.2 in April • China consumer and producer price inflation rose above expectations at 1.2% y/y and 2.8% y/y
	Our assessment: Neutral – Resilient US job market vs. rising inflationary pressures in the US	
Policy developments		• China's central bank cautioned against imported inflation risks, limiting scope for further easing • Fed's Collins did not rule out rate hikes if inflation remains stubbornly above the Fed's 2% target • ECB's Nagel said ECB rate hikes more likely due to Iran crisis inflation risks
	Our assessment: Negative – Hawish central banks	
Other developments	• President Trump agreed with President Xi to reopen Hormuz Strait, expand China's imports of US products, boost Chinese investment into the US	• US and Iran are locked in diplomatic stalemate with no meaningful momentum toward a deal
	Our assessment: Neutral – Constructive Trump-Xi summit vs. US-Iran peace talks deadlocked	

US non-farm payrolls rose more than expected in April, while the unemployment rate held steady at 4.3%, reflecting a labour market near equilibrium

US non-farm payrolls, unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

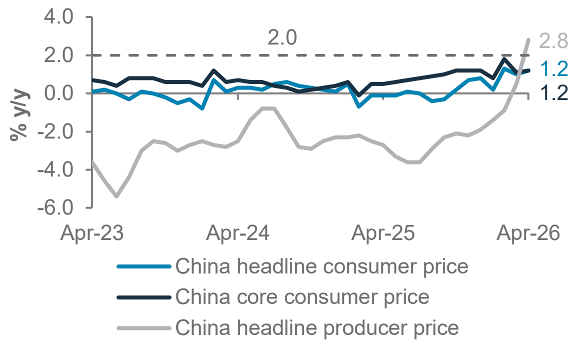
Euro area growth expectations remained weak despite a marginal recovery in May

Euro area and Germany ZEW survey of growth expectations

Source: Bloomberg, Standard Chartered

China's deflation pressures have eased, primarily due to a surge in imported energy costs

China's consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

What are the market implications of the Trump-Xi summit?

Our view: We believe the Trump-Xi summit will be positive for risk assets if it signals greater China involvement in Middle East conflict de-escalation. USD/CNH downside risk remains, which would benefit commodity currencies, such as the Australian dollar (AUD).

Rationale: US President Trump and Chinese President Xi began a two-day summit in Beijing on 14 May, after Trump arrived in China on a 13-15 May state visit. The US and China are expected to launch a **'Board of Trade' mechanism**, with each side potentially identifying USD 30bn worth of goods for tariff reductions – a development that, if confirmed, would be modestly supportive of risk assets.

The most significant wildcard for risk assets is the ongoing Middle East conflict. Any signs of progress, diplomatic breakthroughs or formal agreements regarding **conflict de-escalation** reached at this summit, with China playing a more active diplomatic role in pressuring Tehran, would be pivotal. US Secretary of State Rubio has explicitly urged China to help reopen the Strait of Hormuz, underscoring this as a live negotiating point.

In fixed income, we believe any positive developments towards conflict de-escalation could trigger a **relief rally** in US Treasuries and Emerging Market (EM) local currency (LCY) bonds, along with some tightening of yield premiums more broadly. This is because oil prices could fall sharply, easing inflation pressures and reducing the geopolitical risk premium embedded in rates.

Meanwhile, the USD/CNH currency pair is facing continued downward pressure, largely due to the People's Bank of China (PBoC) consistently setting the yuan midpoint at stronger levels around 6.84, particularly in the lead-up to and during the Trump-Xi summit. This approach highlights the Chinese authorities' commitment to ensuring currency stability, which bolsters investor confidence in the yuan. We expect **USD/CNH to remain in a modestly bearish trend**, with the next support at 6.75, reflecting the broader strength of the Chinese yuan.

This supportive environment for the yuan has also had a positive impact on commodity-linked currencies, particularly the AUD. We continue to see **room for AUD/USD to rise further**, driven by Australia's trade with China and favourable macroeconomic conditions. Immediate resistance is at 0.74. However, we see **long AUD/JPY as a more attractive trading opportunity**, with the pair in an upward channel since April 2025. We expect it to approach the 116 level in the coming weeks.

— **Ray Heung**, *Senior Investment Strategist*
Iris Yuen, *Investment Strategist*

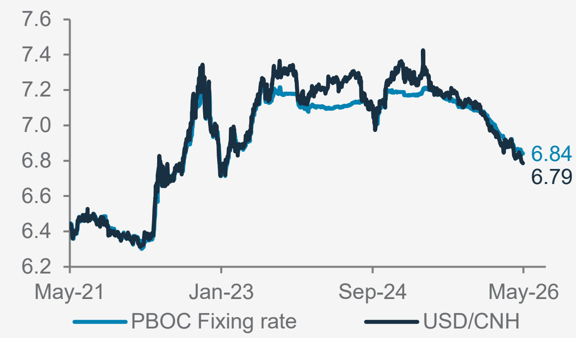
Bond yields declined as the news of the first US-Iran ceasefire agreement broke in early April

US 10-year government bond yield, Bloomberg EM local currency government bond index yield, US Investment-grade (IG) corporate bond index yield

Source: Bloomberg, Standard Chartered

The Chinese yuan is strengthening as the PBoC lowers USD/CNH fixing

USD/CNH and PBoC fixing rate



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How does the latest US consumer inflation data impact your view on US Government Bond yields?

Our view: We expect the firmer US consumer inflation print to maintain near-term upward pressure on the 10-year US Government Bond yield.

Rationale: The higher-than-expected US consumer inflation in April (3.8% y/y) suggests the market will scale back expectations for near-term Fed easing, and at the margin, revive concerns about further tightening.

Nevertheless, the latest inflation rise is not broad-based. Much of the upside stemmed from energy, food, airfares and a one-off shelter distortion. While core goods inflation was flat, wage growth remains contained, and **long-term inflation expectations remain anchored**.

As a result, we view the strong headline consumer inflation data as likely to push the 10-year Government Bond yield higher initially, with the yield potentially reaching resistance at around 4.5%. If the pressure persists, it could test the next resistance level at around 4.6%, a level last seen in May 2025. Our **three-month estimated range for the 10-year US Government Bond yield of 4.25-4.5% remains intact**, but bouts of inflation pressure are expected to lead to a temporary breach of this range.

— **Ray Heung,** *Senior Investment Strategist*

We expect the US 10-year government bond yield to stay in the 4.25-4.5% range in the near term

US 10-year government bond yield

Source: Bloomberg, Standard Chartered

Do you believe incoming Fed Chair Kevin Warsh will steer market expectations away from a neutral Fed stance?

Our view: We believe Warsh is unlikely to steer the Fed away from its neutral stance in the near term.

Rationale: The current economic backdrop is not conducive to a dovish Fed pivot, especially given that the **latest US consumer inflation reading remains elevated** at 3.8% y/y – a level not seen since 2023.

In an April 2026 CNBC interview, Trump said he would be "disappointed" if incoming Fed Chair Warsh did not cut rates. However, we expect **Warsh to prioritise inflation credibility over accommodation**. In addition, he is expected to rely less on balance sheet tools, which will further constrain the room to ease policy, particularly in the early stages of his tenure as Fed Chair.

That said, Warsh believes in the disinflationary benefits of AI-driven productivity gains. As a result, we think the odds of a shift away from this neutral stance could rise if the Middle East conflict subsides and US labour market weakness becomes more evident in H2 2026.

— **Ray Heung,** *Senior Investment Strategist*

The market has been expecting a Fed rate hold since the start of the Middle East conflict

Market-implied number of Fed funds rate cuts/hikes as of December 2026

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Would the planned mega US initial public offerings (IPO) in H2 2026 challenge your positive stance on US equities?

Our view: We remain positive on US equities, driven by solid earnings growth, and we do not expect major equity offerings to derail this positive trend.

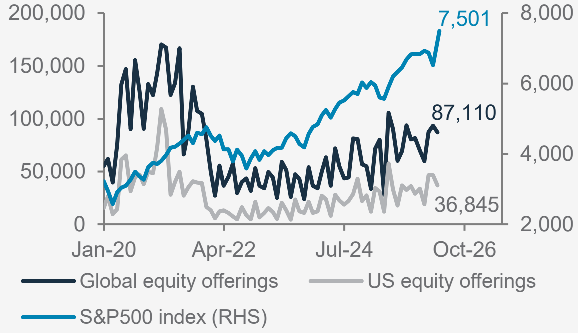
Rationale: Media reports suggest major US equity offerings may emerge in H2 2026 from the **technology sector**, driven by rapid AI growth, and from the **industrial sector**, fuelled by aerospace and space exploration. These offerings could raise concerns that fund managers might have to sell down existing holdings to participate in the new equity offerings, potentially triggering market weakness.

While this could cause short-term volatility, we expect the primary driver for US equities to be earnings growth, on which we remain positive. Consensus expectations are for **S&P500 earnings to grow robustly** by 24% in 2026 and 14.9% in 2027 (per LSEG I/B/E/S). Over time, earnings growth can fund share buybacks – which provide fund managers further capital to deploy directly. Earnings growth also indirectly support the stock market as companies reinvest their earnings to fund growth and individuals see rising income and savings. Indeed, it is more likely that major equity offerings are the result of sustained positive equity market sentiment.

— **Fook Hien Yap**, *Senior Investment Strategist*

US equity offerings have been trending higher since 2022, along with a rise in the S&P500 Index

Global and US equity offerings (in USD millions) and the S&P500 Index



Source: Bloomberg, Standard Chartered

What are the key takeaways from major Chinese technology companies' earnings?

Our view: We maintain our bullish view on Hang Seng Technology Index (HSTECH). Reasonable valuations and improving growth visibility provide scope to increase exposure.

Rationale: China's tech sector delivered **strong Q1 2026 earnings**, reinforcing AI as the dominant driver. According to Bloomberg, as of 14 May, aggregate earnings per share growth for the IT sector more than doubled. **AI adoption broadened beyond IT**, particularly into consumer discretionary (eg: EVs, e-commerce) and communication services (eg: gaming), which recorded positive revenue growth.

Multiple catalysts underpin our expectations of further upside: 1) **Monetisation inflection:** Early revenue traction among immediate AI beneficiaries, including enterprise software and advertising/marketing. 2) **Capex expansion:** Rising investments in segments such as semiconductors and energy infrastructure support the supply build-out to meet commercial AI demand. 3) **Macro support:** Stabilising retail sales and elevated oil prices have supported profitability in select consumer discretionary segments, such as EVs. HSTECH trades at 19.3x 12-month forward price-to-earnings (P/E) ratio – below its five-year average – offering an attractive entry point.

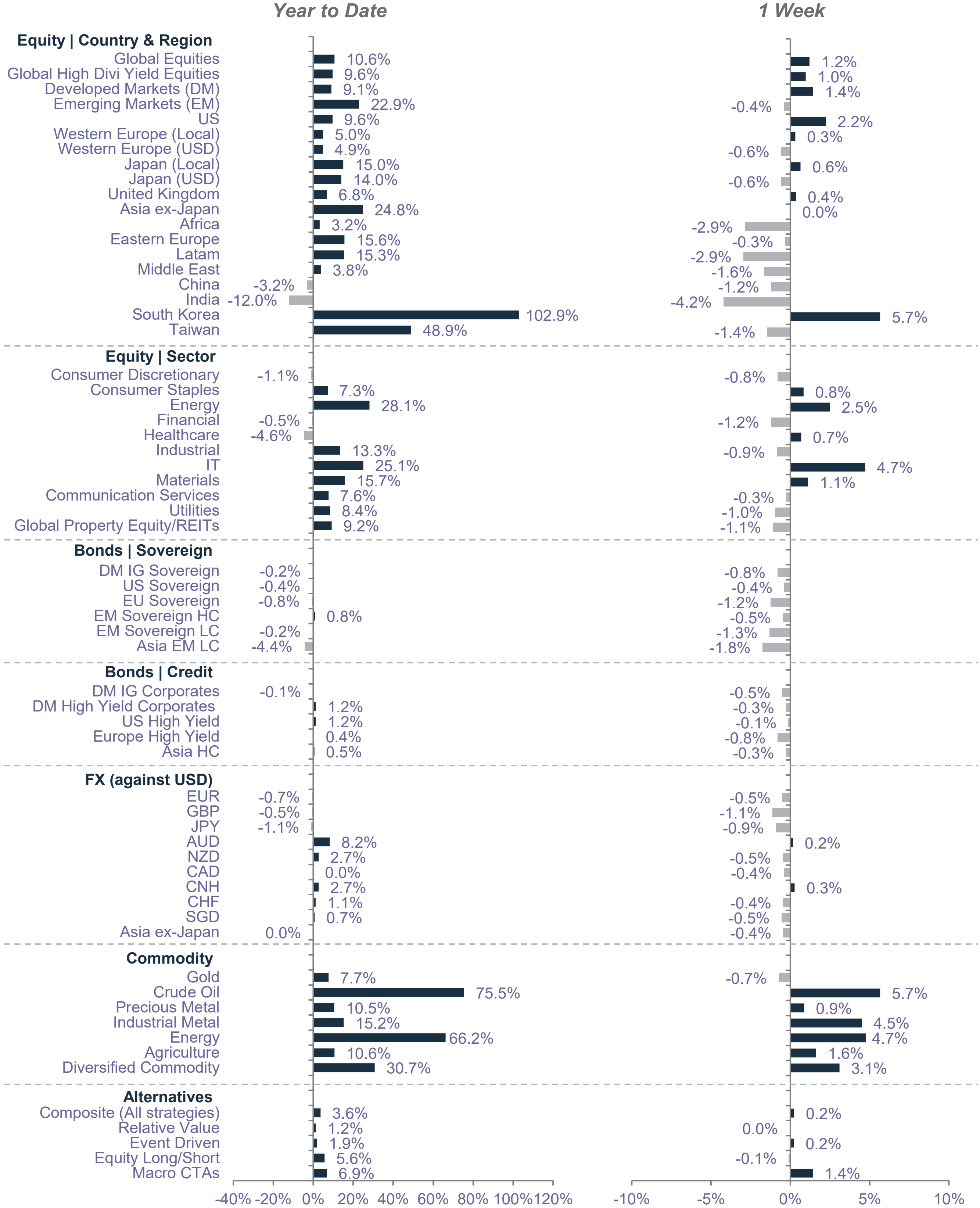
— **Michelle Kam, CFA**, *Investment Strategist*

Valuations for the Hang Seng Tech index remain reasonable, providing opportunities to add exposure

12-month forward P/E ratio for the Hang Seng Technology index

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 14 May 2026; 1-week period: 7 May 2026 to 14 May 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	US Utilities	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	China Communication	▲
		China Technology	▲
Bonds	◆	China Healthcare	▲
Credit			
Asia USD	◆	**Alternatives**	◆
Corp DM HY	◆		
Govt EM USD	▲	**Gold**	▲
Corp DM IG	◆		
Govt			
Govt EM Local	▲		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	Retail Sales y/y	Apr	1.9%	1.7%
	CNH	Industrial Production y/y	Apr	6.0%	5.7%
	CNH	Fixed Assets Ex Rural YTD y/y	Apr	1.7%	1.7%
	CNH	Property Investment YTD y/y	Apr	-11.4%	-11.2%
TUE					
WED					
THU	EUR	S&P Global Eurozone Manufacturing PMI	May P	–	52.2
	EUR	S&P Global Eurozone Services PMI	May P	–	47.6
	USD	Philadelphia Fed Business Outlook	May	12.0	26.7
	USD	Housing Starts	Apr	1420k	1502k
	USD	Building Permits	Apr P	1385k	1363k
	USD	S&P Global US Manufacturing PMI	May P	–	54.5
	USD	S&P Global US Services PMI	May P	–	51.0
	EUR	Consumer Confidence	May P	–	-20.6
FRI/SAT	EUR	GfK Consumer Confidence	Jun	–	-33.3
	EUR	IFO Business Climate	May	–	84.4

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,711

Technical indicators for key markets as of 14 May close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,501	7,099	7,711	21.2	1.2
STOXX 50	5,935	5,764	6,090	15.1	3.2
FTSE 100	10,373	10,122	10,654	12.8	3.5
TOPIX	3,879	3,732	3,976	16.9	2.3
Shanghai Comp	4,178	4,027	4,294	14.0	2.9
Hang Seng	26,389	25,718	26,953	11.3	3.3
Nifty 50	23,690	23,101	24,440	18.3	1.7
MSCI Asia ex-Japan	1,135	1,039	1,187	12.6	2.0
MSCI EM	1,717	1,596	1,786	11.9	2.5
Crude oil (WTI)	101.2	84.2	114.5	na	na
Gold	4,652	4,472	4,861	na	na
UST 10Y Yield	4.48	4.30	4.58	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 14 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.69
Global Equities	◐	↓	1.46
Gold	●	→	1.64
Equity			
MSCI US	◐	↓	1.38
MSCI Europe	●	↓	1.79
MSCI AC AXJ	◐	↓	1.50
Fixed Income			
DM Corp Bond	●	↓	1.75
DM High Yield	●	→	1.94
EM USD	●	↑	2.00
EM Local	●	→	1.56
Asia USD	●	↓	1.88
Currencies			
EUR/USD	●	→	1.53

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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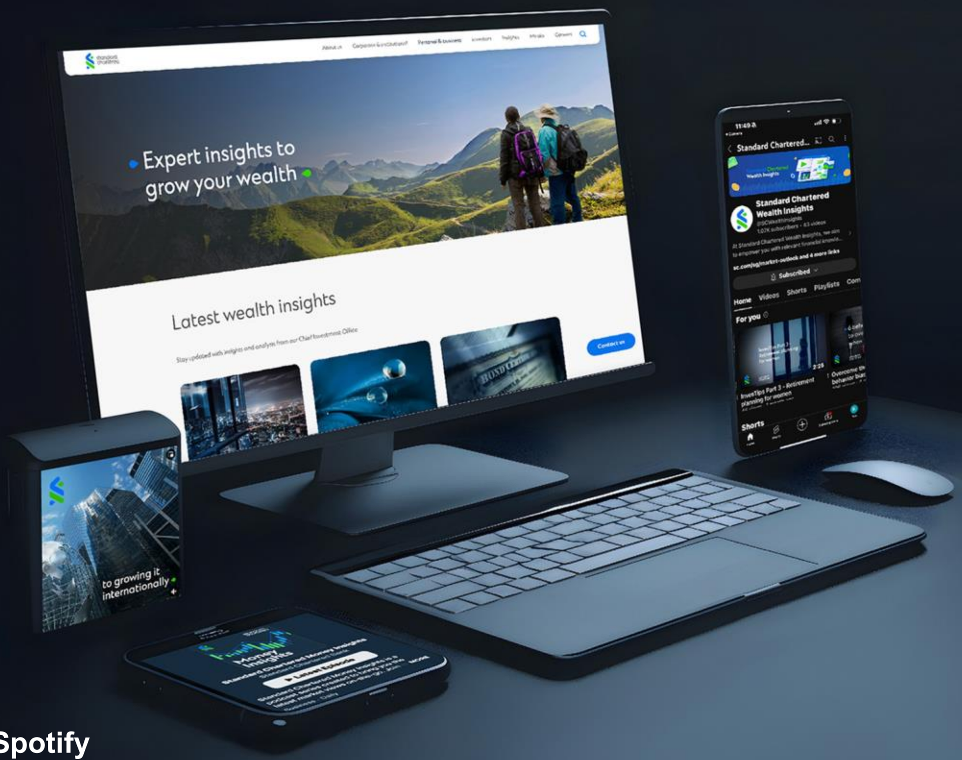

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WS Global CIO Office
8 May 2026

Weekly Market View

Locking gains in Asia, rotating to Euro area

→ The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows.

→ While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

→ This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June.

→ The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

Bullish Hang Seng Tech index: AI adoption to create long-term value

Bullish AUD corporate bonds: attractive yield, peak RBA hawkishness, AUD strength

Rangebound GBP/USD: Election downside risk offset by weaker USD

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Rotating equity allocations

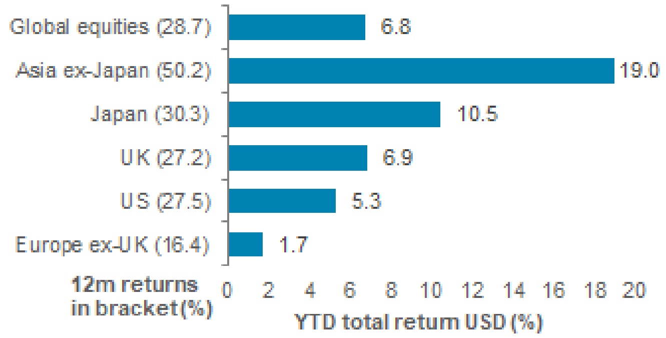
We took profit on the outperforming Asia ex-Japan equities, rotating into Europe ex-UK, which has underperformed YTD

Changes to our foundation equity market allocation views

Equities	Our views
US	▲
Asia ex-Japan	◆ (red)
Japan	◆
Europe ex-UK	◆ (green)
UK	▼

Legends: ▲ Overweight | ▼ Underweight | ◆ Core holding
Green represents an upgrade from previous houseview;
Red represents a downgrade from previous houseview
Source: Bloomberg, Standard Chartered; *As of 4 May

Regional equity market performance YTD*



Editorial

Locking gains in Asia, rotating to Euro area

Strategy summary: The global equity rally is likely to broaden in the coming weeks, driven by a potential US-Iran deal that could reopen the Strait of Hormuz and restart Middle East energy flows. While our investment stance remains Overweight on global equities, including US equities following another strong earnings season, this week we locked in significant gains from our Overweight view on Asia ex-Japan and semiconductor equities, and upgraded Euro area equities to a core holding.

This week's clashes notwithstanding, a potential US-Iran deal should ease inflation pressures, allowing the Fed to cut rates later this year to support growth. In contrast, both the ECB and BoJ are likely to hike rates as early as June. The BoJ faces pressure to normalise its highly accommodative monetary policy after being forced to intervene in FX markets to defend the yen. This anticipated policy divergence between the Fed and the ECB/BoJ is expected to further weaken the USD.

A broadening rally: This year's global equity rally has been highly concentrated, with nearly 50% of gains attributed to the semiconductor industry. This benefitted our Overweight view on Asia ex-Japan, which includes semiconductor leaders – South Korea and Taiwan. While our structural bullish stance on the AI revolution remains intact, the AI rally is entering its next phase, where downstream beneficiaries such as internet platforms (key customers of semiconductors) are expected to increasingly capture value. A more balanced positioning across tech-related markets and industries is therefore prudent.

Locking gains in Asia, rotating to Euro area: On 5 May, we took profit on our Overweight view on Asia ex-Japan (outperformer) and rotated to Europe ex-UK (underperformer), to capture the broadening rally (for details, please see Market Watch "*Broadening of the rally*", published 5 May). Europe ex-UK equities are likely to benefit from AI adopters across the industrial, financial, consumer, and healthcare sectors. We also closed our opportunistic idea on global semiconductors, locking in significant gains. Within Asia ex-Japan, we maintain Overweight positions in Taiwan, China, and India to benefit from the AI value chain and domestic growth.

Potential US-Iran deal to restart Hormuz shipping: A US-Iran deal looks likely amid mounting economic pressure on all sides. US gasoline prices have surged above USD 4.5/gallon, and President Trump's approval rating is falling. The Hormuz strait blockade is increasing pressure on Iran's oil industry and its economy. China's intervention this week, urging Iran to reopen the strait, which comes ahead of next week's Trump-Xi meeting, could be the decisive factor leading to a deal.

US-Iran deal to ease inflation, bond yields and the USD: A restart of Middle East energy flows should lower near-term inflation expectations. While major central banks are likely to hold rates in the near term, the Fed is likely to cut later this year as the latest oil shock weighs on growth with a lag (watching April's jobs report tonight and inflation report next week). Although the ECB has set the stage for a June hike amid rising inflation, markets may be underestimating the medium-term growth impact of the oil shock. We expect one ECB rate hike this year, in June vs. market odds of 2–3 hikes. This policy outlook means bonds offer attractive risk-reward for investors seeking to lock in yields. We are tactically bullish on AUD bonds following this week's RBA meeting, which delivered a rate hike alongside relatively dovish guidance from Governor Bullock.

Japan draws the line on yen depreciation: Japan authorities have intervened in FX markets since 30 April for the first time in two years to support the yen as USD/JPY crossed 160. This signals they do not want further yen depreciation given its negative impact on imported inflation. However, FX intervention is a stop-gap measure. The BoJ is likely to hike its policy rate, potentially as early as June, to bring it closer to inflation. The BoJ is under pressure to prevent rising wage-driven inflation from un-anchoring long-term inflation expectations. We expect USD/JPY to fall to 152 over 12 months, with the BoJ hiking 50bps by December, and the Fed cutting 25bps.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

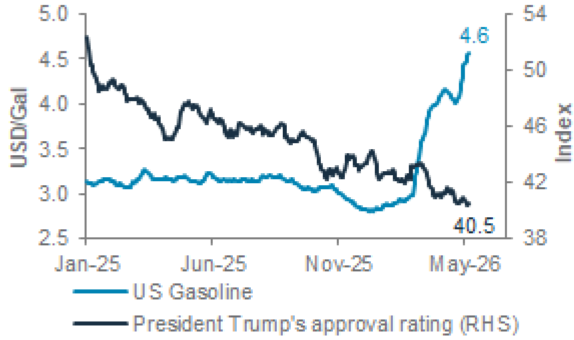
(+) factors: Likely US-Iran agreement to restart Hormuz shipping

(-) factors: Weak US mfg and services activities, mixed US jobs data

	Positive for risk assets	Negative for risk assets
Macro data	• US JOLTS job openings fell less than expected to 6.87m in March • Euro area Sentix investor confidence came in above estimates at -16.4 in April • US Q1 unit labour cost growth slowed more than expected to 2.3%	• US private payrolls (ADP) rose less than expected by 109,000 in April • US ISM manufacturing and key sub-indices PMIs missed estimates in April, with rising prices paid • US ISM services PMI rose less than expected to 53.6 • Euro area producer price inflation rose unexpectedly to 2.1% y/y in March
	Our assessment: Negative – Softer-than-expected US manufacturing and services activities, mixed US jobs data	
Policy developments	• ECB's Villeroy signalled not enough second-round inflation effects from oil prices yet to justify rate hike • RBA raised the cash rate to 4.35% as expected, but Governor Bullock offered relatively dovish guidance	• BOJ minutes showed the need to hike rates if energy shock continues • ECB's Kazimir signalled a June hike due to the inflation pressures
	Our assessment: Negative – Potential BoJ rate hike	
Other developments	• US and Iran are reportedly close to agreeing a 14-point memorandum to end the conflict • China, in talks with Iran's top diplomat, warned against resuming the conflict with the US • President Trump confirmed his planned trip to China will go ahead as scheduled on May 14-15	• The US and Iran exchanged attacks on military targets and navy ships, re-escalating their conflict; earlier Iran attacked UAE targets • Ukraine struck Russia's Primorsk port on the Baltic Sea • EU warned of retaliation if the US raises auto tariffs to 25%
	Our assessment: Positive – Likely easing of US-Iran tensions and resumption of Hormuz strait shipping	

US gasoline prices have surged, while President Trump's approval ratings have dropped to the lowest levels of his second term, increasing pressure to reach an agreement with Iran

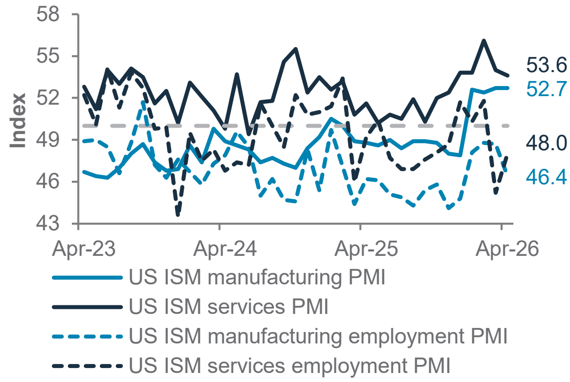
US daily national average gasoline prices and President Trump's job approval poll rating



Source: Bloomberg, Standard Chartered

US ISM manufacturing and services PMIs and employment PMIs came in below estimates

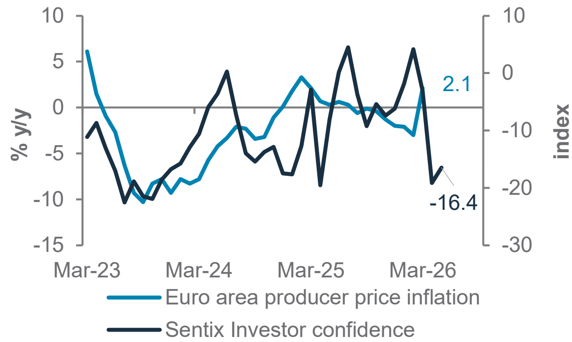
US ISM manufacturing and Services PMI, and employment PMIs



Source: Bloomberg, Standard Chartered

Euro area producer prices indicated a resurgence of inflationary pressure driven by the jump in energy costs

Euro area producer price inflation and Sentix investor confidence



Source: Bloomberg, Standard Chartered

Top client questions

How does your view of a broadening of the global equity rally impact your regional equity preferences?

Our view: We closed our Asia ex-Japan (AxJ) Overweight idea, taking profit on its outperformance and rotating into Europe ex-UK, an underperformer. We remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India.

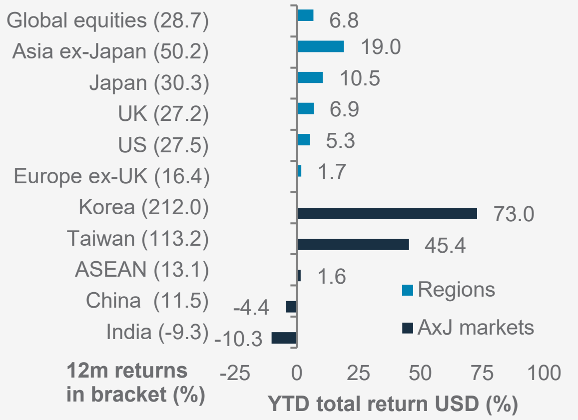
Rationale: We remain positive on global equities and expect the equity rally to broaden, given resilient corporate earnings growth. Hence, we have taken profit on **AxJ, the best performing major market year to date (YTD)**, shifting our view from Overweight to a Core allocation. At the same time, we have closed our Underweight view on Europe ex-UK, the worst performing region YTD. We remain Overweight US equities, which are likely to deliver the second-highest expected earnings growth (19.1%) over the next 12 months among major equity regions, behind AxJ (46.0%).

AxJ's YTD strength has been led by South Korean equities, where we have a Core allocation. We continue to prefer a diversified approach within AxJ. Taiwan offers exposure to structural semiconductor growth, while China offers valuation re-rating potential due to its valuation discount amid stable policy support and AI developments. Meanwhile India offers non-tech, domestic-driven growth at reasonable valuations.

— **Fook Hien Yap**, *Senior Investment Strategist*

As the rally broadens out, we remain Overweight US equities. Within AxJ, we are Overweight Taiwan, China and India

Regional equity market performance YTD*



Source: Bloomberg, Standard Chartered; *As of 4 May

What do you expect from the upcoming Chinese Big Tech companies' earnings releases?

Our view: Although near-term earnings growth faces pressure from elevated capex and intensified e-commerce competition, AI-driven capabilities are expected to support long-term value creation. We remain positive on the Hang Seng Tech index.

Rationale: Chinese Big Tech companies are set to report Q1 2026 earnings from 12 May. Consensus 2026 earnings per share (EPS) growth for Hang Seng Tech has been revised downward, reflecting near-term pressure from **rising capex** and **intense e-commerce competition**. However, 2027 estimated growth remains intact, signalling an anticipated medium-term normalisation.

Despite near-term pressures, **rising AI adoption** is a key growth driver. Chinese internet giants are deeply embedding AI across gaming, social media and advertising to accelerate monetisation. Meanwhile, China has been promoting **research and innovation** amid global competition. Combined with policy initiatives to curb excessive competition and stimulate domestic demand, we expect the combined measures to support future earnings and margin expansion.

— **Jason Wong**, *Senior Equity Analyst*

Hang Seng Tech's intact 2027 earnings growth estimates, despite downward revisions to 2026 estimates, signal medium-term normalisation

Consensus 2026 and 2027 earnings growth estimates for the Hang Seng Technology Index

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Given elevated energy prices, what underpins your expectations of a 25bps Fed rate cut this year? What is your near-term view on the US 10-year bond yield? Is intermediate duration still the right exposure for bonds?

Our view: We retain our expectation of one 25bps Fed rate cut in 2026 as we see the Fed policy narrative pivoting from inflation to growth. We retain our preference for intermediate- and short-duration US High-yield (HY) bonds for 'carry' and Treasury Inflation-protected Securities (TIPS) as an inflation hedge.

Rationale: We continue to expect the Fed to deliver one 25bps rate cut before year-end 2026. While the central bank is unlikely to be in a hurry, given near-term inflationary pressures – visible in the March 2026 personal consumption expenditure (PCE) print of 3.5% y/y – we expect a **lack of sustained inflationary pressures**, enabled by a **relatively soft labour market**, to eventually open the door for lower policy rates.

We continue to **view 5-7-year maturities as offering the most attractive risk-reward**, capturing potential capital gains from Fed cuts and meaningful upside from longer-duration bonds, but with significantly lower rate volatility. While Middle East de-escalation could lift disinflationary expectations and reprice risk premia, energy supply disruptions and fiscal deficit concerns leave the long-dated duration vulnerable to term-premium pressures. Moving sharply down the curve is also not preferred, as coupon income diminishes. We are **tactically bullish on short-duration HY corporates**, where higher yields more than compensate for shortened duration, supported by late-cycle fundamentals.

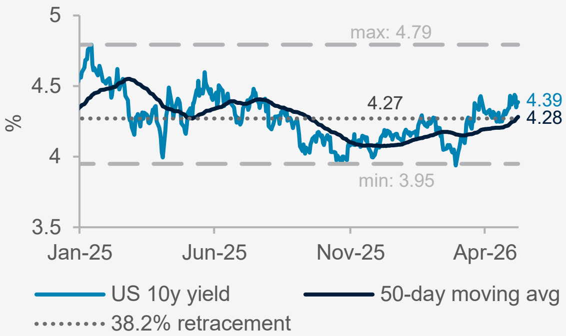
Recent hawkish repricing has pushed yields to the middle or upper bound of our three-month range, creating a tactical entry point for selective tenors in the near term. For longer-term positioning, reports of a potential Middle East deal present an opportunity to lock in yields in our preferred 5-7-year tenors. **We would extend duration if front-end yields rally meaningfully or if the term premium subsides sustainably.** A delayed conflict resolution remains a key risk, potentially reintroducing long-end volatility. Encouragingly, central banks view oil's inflation pass-through as manageable, reinforcing our view that the Fed will look through the near-term spike and resume cuts in H2 2026. Under this backdrop, we believe TIPS serve best as a portfolio hedge.

The US 10-year bond yield fell to roughly 4.35% on news of conflict de-escalation, near the midpoint of our three-month forecast. We see further room for the 10-year yield to decline, with technical indicators pointing to support at 4.27% – the convergence of the 50-day moving average and the 38.2% retracement of the January 2025 high.

— **Ray Heung**, *Senior Investment Strategist*
— **Cedric Lam**, *Senior Investment Strategist*

The US 10-year government bond yield has room to move lower

US 10-year government bond yield, Fibonacci retracement (Jan-2025)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Does the latest Reserve Bank of Australia (RBA) commentary alter your bullish view on AUD corporate bonds?

Our view: We maintain our Opportunistic bullish view on Australian Dollar (AUD) corporate bonds.

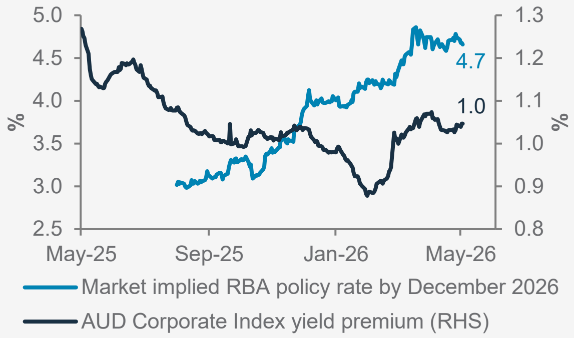
Rationale: While the RBA chose to hike policy rates by 25bps to 4.35%, **we remain positive on AUD corporate bonds** because we see the decision as a signal of 'peak hawkishness' rather than the start of a more extended tightening cycle. Governor Bullock signalled **a likely upcoming pause** to assess the impact of the recent tightening. Importantly, the RBA's downgraded 2026 growth outlook suggests **policy is already restrictive**, which should cap further rate rises. We believe this explains the calm reaction in AUD corporate bond yield premia, which remained rangebound after the RBA decision. Given these factors, AUD corporate bond yields and yield premia remain attractive, in our view.

AUD strength adds an additional layer of support for total returns. AUD/USD has appreciated about 2% since we initiated the idea, bringing it close to our three-month target. **AUD gains vs. the USD are likely to resume later in 2026** as expectations build for the Fed to resume rate cuts in H2 2026. For now, we expect the AUD/USD to consolidate at recent highs, anticipating the pair will reach 0.73 in three months and 0.75 in 12 months.

— **Ray Heung,** *Senior Investment Strategist*
— **Iris Yuen,** *Investment Strategist*

AUD corporate bond yield premium and market-implied RBA policy rate estimates remain rangebound after the recent RBA rate decision

Market-implied RBA policy rate estimate by December 2026, Bloomberg AUD corporate bond total return index (unhedged)



Source: Bloomberg, Standard Chartered

What is your tactical outlook for the Pound Sterling (GBP) following the UK local elections?

Our view: GBP/USD is expected to stay rangebound between 1.3480 and 1.3730 in the coming weeks, as the likely outcome of Labour losing seats is already reflected in the market and any downside risk is likely to be offset by USD repricing.

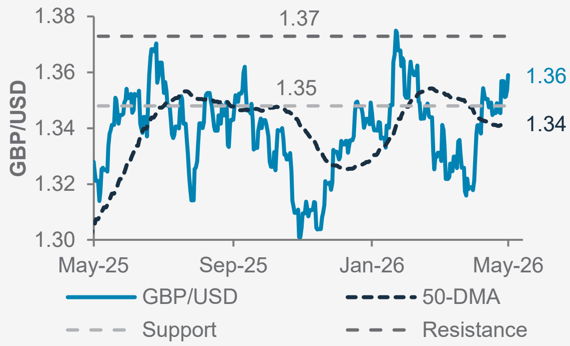
Rationale: Reports suggest the Labour party, led by current UK Prime Minister Keir Starmer, is expected to lose seats in the UK local elections. This scenario appears to be largely priced in by markets as well. Should Starmer manage to maintain his leadership with only minor cabinet changes, markets could interpret this as a signal of political stability, which could in turn support GBP stability.

If leadership challenges intensify, especially if Reform UK and the Greens make gains, downside pressure on GBP/USD could rise. However, the UK faces a challenging economic environment (potential stagflation linked to the ongoing Middle East conflict), which may discourage or delay any immediate leadership challenges. USD weakness amid US-Iran peace talk expectations should also help offset any GBP/USD downside risks.

— **Iris Yuen**, *Investment Strategist*

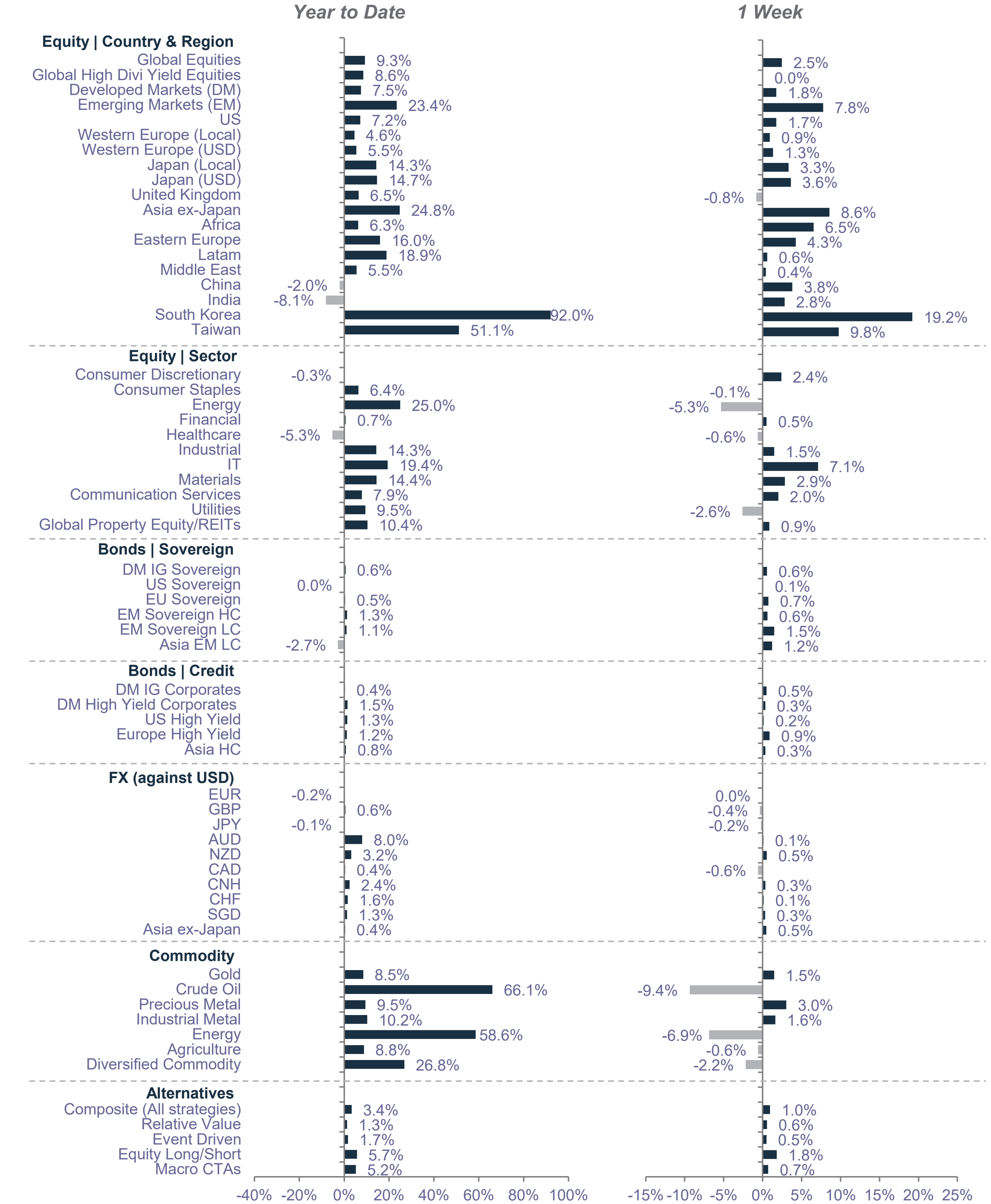
GBP/USD remains largely rangebound

GBP/USD and technical levels



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 7 May 2026; 1-week period: 30 April 2026 to 7 May 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	◆	US Utilities	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	China Communication	▲
		China Technology	▲
Bonds	◆	China Healthcare	▲
Credit			
Asia USD	◆	**Alternatives**	◆
Corp DM HY	◆		
Govt EM USD	▲	**Gold**	▲
Corp DM IG	◆		
Govt			
Govt EM Local	▲		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	PPI y/y	Apr	1.8%	0.5%
	CNH	CPI y/y	Apr	0.8%	1.0%
	USD	Existing Home Sales	Apr	4.05m	3.98m
TUE	EUR	ZEW Survey Expectations	May	–	-17.2
	EUR	ZEW Survey Current Situation	May	–	-73.7
	USD	NFIB Small Business Optimism	Apr	96.0	95.8
	USD	CPI y/y	Apr	3.8%	3.3%
	USD	Core CPI y/y	Apr	2.7%	2.6%
WED	USD	PPI Final Demand y/y	Apr	–	4.0%
	USD	PPI Ex Food and Energy y/y	Apr	–	3.8%
THU	USD	Initial Jobless Claims	9-May	–	–
	USD	Continuing Claims	2-May	–	–
	USD	Retail Sales Control Group	Apr	–	0.7%
FRI/ SAT	USD	Empire Manufacturing	May	8.0	11.0

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,637

Technical indicators for key markets as of 7 May close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,337	6,786	7,637	20.9	1.2
STOXX 50	5,973	5,697	6,161	15.2	3.1
FTSE 100	10,277	10,065	10,588	12.7	3.5
TOPIX	3,840	3,698	3,922	17.0	2.3
Shanghai Comp	4,180	3,977	4,282	14.1	2.9
Hang Seng	26,626	25,867	27,028	11.4	3.3
Nifty 50	24,327	23,163	25,046	18.8	1.7
MSCI Asia ex-Japan	1,135	1,002	1,203	12.5	2.0
MSCI EM	1,724	1,539	1,819	11.9	2.4
Crude oil (WTI)	94.8	77.7	114.8	na	na
Gold	4,686	4,495	4,883	na	na
UST 10Y Yield	4.39	4.25	4.49	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 7 May close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.38
Global Equities	◐	→	1.45
Gold	●	→	1.91
Equity			
MSCI US	◐	→	1.44
MSCI Europe	●	↑	2.15
MSCI AC AXJ	◐	↓	1.43
Fixed Income			
DM Corp Bond	●	↑	2.11
DM High Yield	●	↑	1.82
EM USD	●	↑	1.82
EM Local	●	↑	3.81
Asia USD	●	↑	2.06
Currencies			
EUR/USD	●	↑	1.84

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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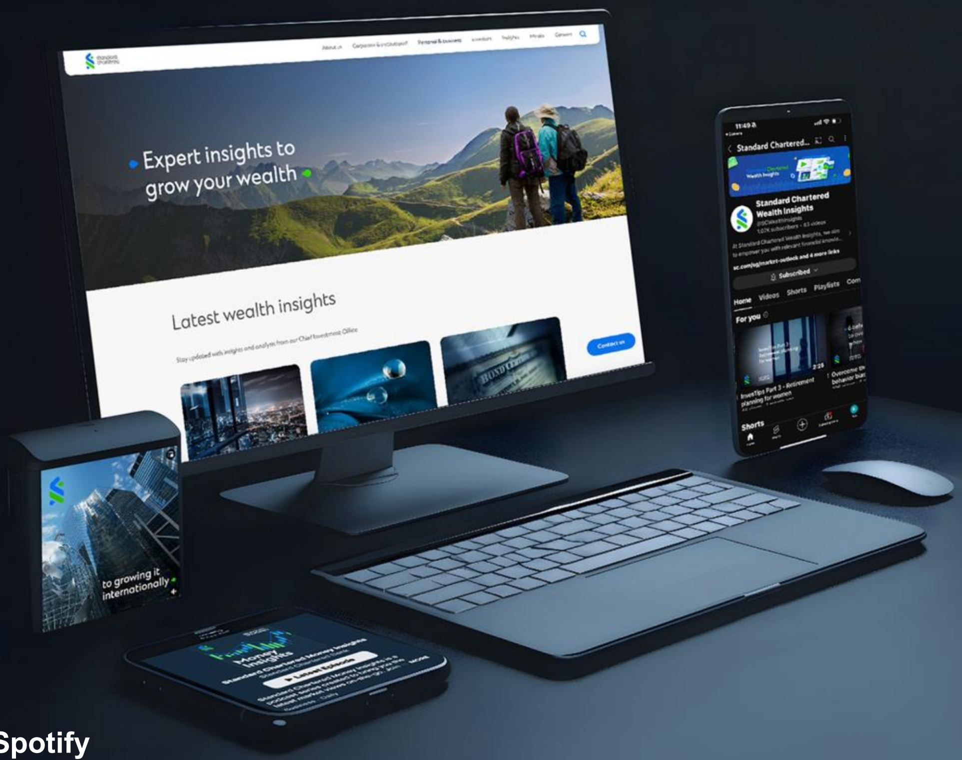

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